

Insiders

Insiders are persons who work for a company or who have intimate dealings with a company and have access to, or are aware of, information that is not generally known. This could be information on the performance of the company, upcoming rights or bonus issues, or some other relevant news. As the information is not known to all, the investor must act fast if he wishes to make a killing. The Securities Exchange Board of India (SEBI) has published regulations prohibiting insider trading. I would also caution against insider trading; apart from the fact that it is against SEBI rules and the law, it is fraught with other risks. Edwin Leferre, in his book, *Reminiscences of a Stockbroker* also warned against it saying, “Wall Street professionals know that acting on inside tips will break a man more quickly than famine, pestilence, crop failure, political readjustments or what may be called normal accidents.”